with the solution of the four basic problems. Accordingly, each organization must have structures that enable it to adapt to its environment and mobilize the resources required for its continued functioning. Mechanisms are also required to enable the organization to implement its goals, including structures devoted to specification of objectives, to allocation of resources within the organization, to "production," and to distribution. To solve its integrative problems the organization must find ways to command the loyalties of its members, to motivate their effort, and to coordinate the operations of its various segments. Finally, institutions must be developed to cope with the latency problem, that is, to promote consensus on the values that define and legitimate the organization's goals. All organizations are faced with these problems; however, the particular structures devised to meet them will vary with the type of organization under consideration.

Three major hierarchical levels in formal organizations are distinguished by Parsons. There is first the technical level, where the actual "product" of the organization is manufactured or dispensed; this level is exemplified by workers on assembly lines, doctors in hospitals, and teachers in universities. Above the technical employees is the managerial level, whose primary concern is to mediate between the various parts of the organization and to coordinate their efforts. Finally, the institutional level of the organization connects it with the wider social system; for instance, the function of a board of directors is to oversee the operations of the organization in the light of its position in the larger society. It appears that the first level is chiefly concerned with problems of adaptation and goal attainment, the second with integrative problems, and the third with latency problems.

Parsons suggests that there are clear-cut breaks in the hierarchy of authority and responsibility between these three levels. Only within a level can the superior supervise the work of subordinates and assume responsibility for it, since the differences in function between the levels are too great to make supervision of the lower by the higher possible. Senior professionals, for example, direct the work of junior professionals, but top management does not direct their work in the same sense, since managers do not have the technical qualifications to do so. Indeed, it is not correct even to say that the executive delegates responsibility to professionals. The latter assume full responsibility for technical decisions, and the executive must rely on their expert judgments in discharging his managerial responsibility, which is the area of his special competence. Similarly, the board of directors does not supervise managerial decisions but seeks only to adjust the organization to external conditions by defining general objectives and policies. In matters of internal policy and organizational management, it must permit the independent judgment of executives free scope.

Parsons' analysis of formal organizations is of special interest because it involves the application of the general theory of social systems he has developed to the investigation of this particular institution. A criticism that has been leveled against Parsons' work is that his extremely abstract conceptions yield a theoretical scheme devoid of a system of propositions from which specific hypotheses can be derived; in short, that he has only developed a theoretical framework and not a substantive theory. Cognizant of this criticism, Parsons has recently suggested some theoretical propositions implied by his scheme.[19] But these propositions are again on such a high level of abstraction that it is by no means clear whether empirically testable hypotheses can be derived from them, an essential requirement of scientific theory.

Typologies of Formal Organizations

Various Classifications. Since formal organizations are complex social objects having diverse characteristics, any one of which may be seized upon as a basis for grouping them in one manner or another, many different classification schemes have been proposed. Some students have emphasized the distinction between private and public ownership as a basic one; some have classified organizations by size; others have concentrated attention on the specific purposes served. Another system of types focuses on the criterion of membership; thus, we may distinguish organizations manned largely by volunteers (the Red Cross), by employees (industrial firms), or by conscripts (citizen armies). Organizations have also been assigned to broad institutional areas on the basis of the function they perform for the larger society; such attempts may provide types like economic, political, religious, and educational organizations.

In contrast to these classifications which stress fairly obvious differences between organizations, there are others that use more analytical criteria of distinction.[20] Thus, Parsons differentiates four types on the basis of which one of the four fundamental problems confronting a society an organization helps to solve. Since this category system is derived from a theoretical scheme, it cuts across traditionally defined institutional areas.[21] Another analytical criterion of distinction is whether the "materials" worked on by the technical personnel of the organization are physical objects or people. The crucial difference be-

19 Talcott Parsons, "Pattern Variables Revisited," *American Sociological Review,* 25 (1960), pp. 481–482.

20 For examples, see Robin M. Williams, Jr., *American Society* (2d ed.), New York: Knopf, 1960, pp. 488–489.

21 Banks and credit agencies, for instance, are assigned to the political sphere rather than to the economic. Parsons, *Structure and Process in Modern Societies,* op. cit., pp. 44–47.

tween the two resulting types—production and service organizations—is that only the latter are confronted with problems of establishing social relations with the "objects" of their endeavors and of having to motivate them in various ways. The success of a teacher depends on doing this; that of an engineer does not.[22] It should be noted that the term "service organizations" is misleading for the general type, since not all organizations dealing with people provide a service for these same people; it is hardly correct to say that the function of a prison is to furnish services to prisoners.

Hughes provides yet another analytical classification by attempting to describe several basic models of organization found in modern society, which yields five types: (1) the voluntary association of equals, where members freely join for a specific purpose; examples include sects, clubs, and professional associations; (2) the military model, which emphasizes a fixed hierarchy of authority and status; (3) the philanthropic model, consisting of a governing lay board, an itinerant professional staff, and the clients served, as illustrated by hospitals and universities; (4) the corporation model with its stockholders, board of directors, managers, and staff; and (5) the family business in which a group of people related by kin and marriage carry on some enterprise for profit.[23]

A typology, strictly speaking, is a multidimensional classification. If organizations were, for example, divided into large public, small public, large private, and small private ones, this would be a simple typology based on the dimensions of size and ownership. A more complex typology is illustrated by Thompson and Tuden's analysis of the decision-making strategies in organizations.[24] They suggest that the type of decision made depends on two factors: (1) whether there is agreement on objectives; and (2) whether cause-effect relations are known, that is, whether there is agreement on how to bring about given objectives. The combinations of these two factors produce four types of decision-making strategies and four types of organizations considered appropriate for them. First, if there is agreement on both the

[22] See *ibid.*, pp. 20–21. Parsons mentions, as a third type, organizations that deal with cultural objects; for example, research firms which add to knowledge. For an analysis of the ways in which people are similar to as well as different from physical objects as material to be worked with by organizations, see Erving Goffman, "Characteristics of Total Institutions," Walter Reed Army Institute of Research, *Symposium on Preventive and Social Psychiatry,* Washington, D.C.: U.S. Government Printing Office, 1957, pp. 66–69.

[23] Everett C. Hughes, "Memorandum on Going Concerns," unpublished paper read before the Society for Applied Anthropology, 1952.

[24] James D. Thompson and Arthur Tuden, "Strategies, Structures, and Processes of Organizational Decision," James D. Thompson *et al.* (eds.), *Comparative Studies in Administration,* Pittsburgh: University of Pittsburgh Press, 1959, pp. 195–216.

objectives and on how to attain them, what Thompson and Tuden call "computational" strategies are possible; that is, decisions can be based on rational calculations. This is the situation for which the rational bureaucracy described by Weber is ideally suited. Second, if there is agreement on objectives but cause-effect relations are not fully known so that insight is needed to decide on the best course of action, a "judgmental" strategy will be used. In this case, a collegium or self-governing body of peers is preferable as an organizational form to bureaucracy. A board of directors illustrates this type, and so does a colleague group of professionals. Third, if there is agreement on how to achieve various objectives but dispute on which objectives have first priority, a "compromise" strategy is required to make collective decisions. The appropriate organization in this case is a representative body, such as the United States Congress. Finally, when there is disagreement on both the objectives and on how to achieve them, "inspirational" strategies are likely to be resorted to. These conditions are usually characterized by the absence of formal organization and by a state of anomie, and would seem to be conducive to the development of charismatic movements.

A Classification Based on Prime Beneficiary. Even though the foregoing review of classificatory schemes is only cursory, it suggests that there is no dearth of such schemes in the literature on organizations. In proposing yet another classification, we take upon ourselves the burden of demonstrating the usefulness of our scheme for increasing the understanding of formal organizations. We hope to do so by using it as a basis for discussing several of the recent empirical studies of formal organizations. First, however, we must present the typology.

Four basic categories of persons can be distinguished in relation to any given formal organization: (1) the members or rank-and-file participants; (2) the owners or managers of the organization; (3) the clients or, more generally, the "public-in-contact," which means the people who are technically "outside" the organization yet have regular, direct contact with it, under whatever label—patient, customer, law violator, prisoner, enemy soldier, student; and (4) the public-at-large, that is, the members of the society in which the organization operates.[25] We propose to classify organizations on the basis of *cui bono*—who benefits: Which of these four categories is the prime beneficiary of their operations? It must be emphasized that the prime beneficiary is not the only beneficiary, for each of the various groups who make contributions to an organization does so only in return for certain benefits received. Thus, the owners, the employees, and the customers of a

[25] The first three of our four types are similar to those used by Simon in his discussion of the economic firm. See Simon, *op. cit.*, pp. 16–17.

business concern must each receive some recompense for their various contributions; otherwise, they would not provide the investment capital, the labor power, or the purchase price for goods, all of which are necessary for the firm's continued operation. The public-at-large also benefits from the contribution that business concerns make to the "general welfare," specifically, to the production and distribution of desired goods, and this benefit is the reason why the society permits and encourages such firms to operate. But although all parties benefit, the benefits to one party furnish the reason for the organization's existing while the benefits to others are essentially a cost. In the example cited, the prime beneficiary is the owner of the firm. He established it for the purpose of realizing a profit, and he will close it should it operate for very long showing a loss. Indeed, the public expects the owner to operate his business for his own benefit and not as a welfare institution. Contrast this situation with that of organizations whose prime beneficiary is the public. The city is not expected to close its police department or the community hospital because it fails to show a profit, but to operate it in the interest of the public even at a financial loss.[26]

Four types of organizations result from the application of our *cui bono* criterion: (1) "mutual-benefit associations," where the prime beneficiary is the membership; (2) "business concerns," where the owners are prime beneficiary; (3) "service organizations," where the client group is the prime beneficiary; and (4) "commonweal organizations," where the prime beneficiary is the public-at-large. (This classification can be combined with others to yield more refined typologies.) The following discussion of empirical studies illustrating these four types of formal organizations will clarify the distinction and show that special problems are associated with each type. Thus, the crucial problem in mutual-benefit associations is that of maintaining internal democratic processes—providing for participation and control by the membership; the central problem for business concerns is that of maximizing operating efficiency in a competitive situation; the problems associated with the conflict between professional service to clients and administrative procedures are characteristic of service organizations; and the crucial problem posed by commonweal organizations is the development of democratic mechanisms whereby they can be externally controlled by the public.

26 The reader will note that our typology is not as unequivocal on this point as it might be. In the case of a police department, is not the public also the owner, and is not therefore the owner, as in the case of the business concern, the prime beneficiary? Technically speaking, of course, the public is the owner and prime beneficiary. However, it appeared to us that there were such major differences separating the two types—public organizations and privately owned ones—that more would be lost than gained by combining them into a single type.

The significance of the *cui bono* criterion for defining the character of a formal organization is indicated by the fundamental changes that occur when there is a shift in prime beneficiary from one to another of the four categories. Often such changes are strongly disapproved; sometimes they are heralded as revolutionary improvements; in either case, they signify radical alterations in the basic nature of the organization. Thus, unions are mutual-benefit associations, which are expected to serve the interests of the rank and file. If union leaders usurp the role of prime beneficiary and run the union as if they owned it for their personal benefit, the organization is condemned for no longer serving the proper functions of a labor union. The same is true for a union whose membership has been displaced as prime beneficiary by its public-in-contact—the employers or their representatives—as exemplified by company unions or those whose leadership has "sold out" to management.

In the case of business concerns, the owners are expected to be prime beneficiaries. But public corporations transform owners into mere stockholders and vest controlling power in the hands of top-level employees, enabling them to govern the enterprise in their own interests.[27] Moreover, if unions become more powerful than individual employers, a situation illustrated by some segments of the garment industry, the possibility arises that instead of the owners the employees represented by the union become the prime beneficiaries. Government regulations, notably the extreme case of nationalization of industry, might succeed in making the public-at-large the prime beneficiary of a business concern. This change may, of course, be a good thing. Whether such shifts in prime beneficiary are evaluated as advantageous or disadvantageous depends on one's ideological position, but there is no doubt that they would constitute fundamental transformations of business concerns into distinctly different types of organizations.

In service organizations, if the members of the professional staff lose interest in serving clients and become primarily concerned with making their own work easier or furthering their own careers, service will suffer, since the energies and resources devoted to it will no longer be considered as contributing to the prime function of the organization but rather as a necessary cost for obtaining benefits for the staff or some segment of it.

Commonweal organizations, in sharp contrast, are not expected to be oriented to the interests of their "clients," that is, those persons with whom they are in direct contact. A police department, for example, that enters into collusion with racketeers fails to discharge its responsibility to the public-at-large and is no longer the protective

[27] See Adolf A. Berle and Gardner C. Means, *The Modern Corporation and Private Property*, New York: Macmillan, 1932.

organization it is assumed to be. Likewise, if policemen solicit bribes instead of enforcing the law, or if the police commissioner runs the department primarily to further his political ambitions, the public's position as prime beneficiary of the organization suffers.

Note also that the criticism that an organization is "overbureaucratized" means quite different things in the four types of organizations.[28] In the case of mutual-benefit associations, such as unions, overbureaucratization implies centralization of power in the hands of officials. Here it does not refer to inefficiency; indeed, bureaucratized unions are often ruthlessly efficient. But in the case of business concerns overbureaucratization implies an elaboration of rules and procedures that impairs operating efficiency, and here the term is not used in reference to the power of management officials to decide on policies, since such managerial direction is expected and legitimate. Finally, service and commonweal organizations are considered overbureaucratized if in consequence of preoccupation with procedures rigidities develop which impede professional service to clients or effective service of the public interest.

Types of Formal Organizations

Mutual-Benefit Associations. Examples of organizations in which the membership is expected to be the prime beneficiary include political parties, unions, fraternal associations, clubs, veterans' organizations, professional associations, and religious sects. There are some borderline cases. Share corporations, insofar as they can be analytically distinguished from the business concerns they own, may be considered mutual-benefit associations of shareholders. The philanthropic organization is a mixed type—part mutual-benefit, part service—because it serves its members' interests in serving the interests of others. Only "causes" that interest the members obtain their help, but such organizational activities as parties and balls must make a contribution to some outside client group.

As was suggested, the crucial issue facing this type of organization is maintaining membership control, that is, internal democracy. This involves coping with two main problems: membership apathy and oligarchical control.

Most members of mutual-benefit associations are apathetic in the sense that they are willing to leave the running of their association to

28 For a discussion of the conditions that lead to overbureaucratization and its opposite, see S. N. Eisenstadt, "Bureaucracy, Bureaucratization, and Debureaucratization," *Administrative Science Quarterly,* 4 (1959), pp. 302–320.

an active minority.[29] This situation conflicts with the idealized conception of these associations as collectivities whose members are highly interested and actively engaged in achieving some common objective. Apparently this image of the mutual-benefit association is faithful primarily at the time of its origin and during its early struggle for existence. Evidence of widespread vigor and enthusiasm is ample in the early days of such associations as religious sects (which benefit their members by showing them the correct way to salvation). However, the very enthusiasm that marks the activities of the devoted original members leads them to attempt to persuade others of the moral superiority of their beliefs, and such proselytizing brings in new members less strongly identified with the goals of the association. Whether this infusion or other factors lead to the cooling of initial ardors, it is well established that the majority of members of mutual-benefit associations are not sufficiently interested to devote much time or energy to conducting the business of the association and are content to leave the running of the organization to a corps of active members or to a hired staff.[30] Once the organization is under the control of a minority or of hired officials, a vicious cycle begins, for in such cases business meetings are usually uninteresting and concerned with unimportant matters; members who come to these meetings obtain meager rewards for their efforts, and this condition curtails participation still further.[31]

Given a generally low level of participation in mutual-benefit associations, it is important to know what factors are related to participation—that is, what characteristics differentiate between members who participate much and those who participate little. Many studies, beginning with Komarovsky's, have shown that persons of higher socioeconomic status tend to belong to more associations and to participate more actively in them than persons of lower status.[32] Other studies show that males tend to participate more than females, those in their middle years more than those either younger or older, and those belonging to minority groups more than those in the majority.[33] The

[29] Bernard Barber, "Participation and Mass Apathy in Associations," Alvin W. Gouldner (ed.), *Studies in Leadership,* New York: Harper, 1950, pp. 477–504.

[30] Barber suggests two reasons for membership apathy: (1) in our society, a strong cultural value defines these associations as being of less importance than family and job obligations; and (2) the existence of formal structures makes it possible for a minority to achieve the goals of the association with the majority of the members participating little or not at all. *Ibid.,* pp. 486–487.

[31] See Seymour M. Lipset *et al., Union Democracy,* Glencoe, Ill.: Free Press, 1956, pp. 261–262.

[32] Mirra Komarovsky, "The Voluntary Associations of Urban Dwellers," Logan Wilson and William Kolb (eds.), *Sociological Analysis,* New York: Harcourt, Brace, 1949, pp. 378–392.

[33] See Wendell Bell *et al., Public Leadership,* San Francisco: Chandler, 1961, pp. 21–23, 44–47, 64–66, 82–84, 111–113.

most extensive research in this area has been carried out on participation in trade unions.[34]

The measures of participation in unions utilized by different studies vary somewhat, but attendance at meetings and holding office are most frequently used. Several investigations have found that socioeconomic status exerts the same influence within the union as in the larger society: the higher the status of union members, the greater is their participation. Thus, there is usually more membership participation in craft locals, and within the same local the most active members come in disproportionate numbers from those who hold the better-paid and higher-status jobs. A somewhat contrary finding is that "union activists are disproportionately drawn from specific ethnic groups—Negroes, Mexicans, Jews, and Catholics."[35] Such underprivileged groups are, of course, the ones expected to be particularly responsive to the union's emphasis on collective effort for improvement. This expectation makes the finding that the best-paid workers are often the most active unionists particularly interesting.

Another factor that appears to exert considerable influence on participation in union activities is social contact among workers. Men who hold positions that permit them frequently to interact with fellow workers tend to be active in the union, whereas those who hold jobs that isloate them from others tend to be apathetic. In situations where an "occupational community" develops, which encourages widespread contacts between workers both on and off the job, union participation is also high.[36] The most militant unions seem to develop in industries whose workers form an "isolated mass," as Kerr and Siegel call it—that is, whose workers are segregated from the rest of the community but closely integrated with one another, as in mining and shipping.[37] Sayles and Strauss indicate that homogeneous work groups tend to participate more in union activities than heterogeneous ones, the former being groups whose members work closely together, are under the same supervisor, are engaged in the same type of work, have equal pay, belong to the same ethnic groups, or come from the same neighborhood.[38]

34 In considerable measure the following discussion is based on a survey of this literature by Spinrad. This article provides documentation for all the statements made in our discussion of union participation for which no specific reference is provided. See William Spinrad, "Correlates of Trade Union Participation," *American Sociological Review,* 25 (1960), pp. 237–244.

35 *Ibid.,* p. 241.

36 Lipset *et al., op. cit.,* pp. 71–75; 88–89.

37 Clark Kerr and Abraham Siegel, "The Interindustry Propensity to Strike," Arthur Kornhauser *et al.* (eds.), *Industrial Conflict,* New York: McGraw-Hill, 1954, pp. 189–212.

38 Leonard R. Sayles and George Strauss, *The Local Union,* New York: Harper, 1953, p. 198.

Surprisingly enough, studies find that workers who report high job satisfaction are more likely than dissatisfied workers to be active union members.[39] Contrary to the common stereotype, therefore, the strongest supporters of labor unions are not disgruntled workers incapable of earning an average wage but the most satisfied and highest paid ones. Workers who do not aspire to supervisory positions, and those who are highly identified with the working class are also more apt than others to participate in union activities. Putting these findings together, it becomes apparent that participation in labor unions is promoted not so much by feelings of resentment against management or more privileged groups as by a positive identification with one's work, the work group, and the working class in general.

Studies of participation and apathy deal with one aspect of the problem of internal democracy in formal associations; another facet of at least equal importance is the problem of oligarchy. A fundamental dilemma confronting mutual-benefit associations is that democratic controls are often sacrificed in the interests of promoting the effective accomplishment of objectives. To win a strike, for example, democratic procedures through which union members control their leaders may be set aside. Generally, an overriding concern with "results" easily leads to disenchantment with the often slow and tortuous democratic process—a process which sacrifices efficiency in the interests of preserving freedom of dissent—and to the development of bureaucratic mechanisms which do not depend for success on widespread membership interest or participation.[40] It was Michels who called attention to a general tendency of associations to move toward increasing centralization of control and hierarchical organization as a consequence of these processes as well as the desire of the leaders to retain and extend their power.[41] But Gouldner has pointed out that Michels' gloomy proposition of an "iron law of oligarchy" may be in part counteracted by the "iron law of democracy," which holds that no superordinate group can for very long flout the will of those it would control.[42]

What are the structural conditions that help to sustain democratic control in large-scale organizations? The writings and research of Lipset have focused on this problem.[43] Basic to the maintenance of

[39] See, for example, Joel Seidman *et al.*, *The Worker Views His Union,* Chicago: University of Chicago Press, 1958, p. 178.

[40] For a general discussion of the issue of efficiency vs. dissent in formal organizations, see Peter M. Blau, *Bureaucracy in Modern Society,* New York: Random House, 1956, pp. 105–110.

[41] Robert Michels, *Political Parties,* Eden Paul and Cedar Paul (trans.), Glencoe, Ill.: Free Press, 1949 (first published, 1915), pp. 37–41.

[42] Alvin W. Gouldner, "Metaphysical Pathos and the Theory of Bureaucracy," *American Political Science Review,* 49 (1955), p. 506.

[43] Seymour M. Lipset, *Political Man,* Garden City, N.Y.: Doubleday, 1960, pp. 357–399; and Lipset *et al., op. cit.,* pp. 3–16; 393–418.

democractic control appears to be the existence of a two-party system, resting on two strong factions that have become institutionalized and legitimated. Simply holding periodic plebiscites without the existence of a two-party or multiparty system does not produce democratic control, as the elections held in one-party nations and those held in "one-party" unions demonstrate. The chances of the existence of two or more parties or permanent factions appear to be enhanced by such conditions as the autonomy of local groups within the larger organization, the absence of severe threats to the organization's survival from its environment, a high level of skill and education among the membership, the absence of a large disparity of income and status between leaders and members, the presence of many and varied links between members, the existence of opportunities for members to acquire political skills, and the presence of channels of communication between members independent of those maintained by the officials in control. But the case study on which these conclusions are largely based does not permit a reader to tell which of these conditions are most important or what the chances are for other mutual-benefit associations to develop arrangements that sustain effective democratic control.

Business Concerns. The prime beneficiaries of business concerns are expected to be their owners. Obvious examples of this type are industrial firms, mail-order houses, wholesale and retail stores, banks, insurance companies, and similar organizations privately owned and operated for a profit. The dominant problem of business concerns is that of operating efficiency—the achievement of maximum gain at minimum cost in order to further survival and growth in competition with other organizations. To be sure, efficiency is important for other types of formal organizations as well, but only in business concerns is its significance not limited by that of other factors. All formal organizations are goal-oriented, that is, established to accomplish certain objectives; hence, efficiency in the sense of effective accomplishment of objectives without undue cost is a crucial problem for all of them. Barnard uses the term efficiency differently to refer to the work satisfaction and loyalty of the organization's personnel that promote its strength beyond that needed for immediate goal attainment.[44] Efficiency in this second meaning of the term is also important for other types of formal organizations as well as business concerns. In the other three types, however, considerations of administrative efficiency in both senses of the term are expected to be subordinated to some more fundamental considerations. Thus, in mutual-benefit associations, such as unions, concern with efficiency is expected not to interfere with the membership's ability democratically to decide on the specific objec-

44 Chester I. Barnard, *The Functions of the Executive,* Cambridge, Mass.: Harvard University Press, 1938, pp. 56–61, 92–94.

tives in the organization. In service organizations, considerations of administrative efficiency must ideally not jeopardize the quality of professional service. And in respect to commonweal organizations, such as armies, maximizing of their efficiency and strength is assumed to take second place to assuring that they do not dominate the government they were created to serve but remain under its control. In business concerns, on the other hand, considerations of operating efficiency are expected to reign supreme within the limits *externally* imposed on them. Since productivity, work satisfaction, and other factors pertaining to efficiency will be discussed at length later, we shall illustrate problems of business concerns only briefly at this point with two studies of white-collar offices.

The first study, conducted by Katz and his colleagues, focused on groups of clerical workers and their supervisors in the home office of a large insurance company.[45] In a comparison of supervisors of work groups with consistently high and with consistently low productivity, it was discovered that supervisors of highly productive groups were most likely to report that they spent 50 per cent or more of their time on supervision rather than in doing the same kind of work as their subordinates. This difference seems to indicate the significance of the administrative function for productive efficiency. There was also a tendency for supervisors of the highly productive groups to describe as most important the "human relations" part of their jobs, while low-production supervisors stressed more often the production and technical aspects of their jobs. These findings suggest that, paradoxically, the more important productivity is for the supervisor the less productive is his unit. It should be noted, however, that this attitude of the supervisor might be a result of the group's low productivity as well as a determinant of it. (Cross-sectional data like these do not enable us to tell which of two related factors influences the other.) It is quite plausible that supervisors whose subordinates produce well are less concerned about productivity and accordingly less apt to mention it as the most important part of their job. The more interesting possibility, of course, is that the supervisor's anxious concern with production impedes work satisfaction and congenial informal relations—perhaps by inducing him to supervise more closely—thereby lessening productivity.

In another study of a business concern, Argyris found that superior officials in a bank were obliged to spend so much time with customers that they had little time left for supervision of subordinates.[46]

[45] Daniel Katz *et al.*, *Productivity, Supervision and Morale in an Office Situation*, Ann Arbor: Institute for Social Research, University of Michigan, 1950.

[46] Chris Argyris, *Organization of a Bank*, New Haven: Labor and Management Center, Yale University, 1954.

This situation appeared to have some positive consequences since one of the main sources of work satisfaction reported by junior employees was that "nobody breathes down your neck all the time." However, the fact that some of these junior employees, for example the tellers, also spent most of their time interacting with customers meant that they had little opportunity to interact with one another; this focus resulted in a weak informal structure and a low degree of group solidarity. Argyris also found that the hiring procedure of the bank led to the selection of a particular type of employee—persons who possessed a strong desire for economic security and job stability, a desire to be left alone, and a dislike of aggressiveness in themselves or in others. While this type of employee was well suited for performing the routine work of the bank, promotion created problems because the very qualities that were desirable in subordinates tended to make "passive and weak" leaders, impairing the efficiency of the organization.

Service Organizations. A service organization has been defined as one whose prime beneficiary is the part of the public in direct contact with the organization, with whom and on whom its members work—in short, an organization whose basic function is to serve clients. Included in this category are social-work agencies, hospitals, schools, legal aid societies, and mental health clinics. The crucial problems of these organizations center around providing professional services. The welfare of their clients is presumed to be the chief concern of service organizations.

In the typical case, however, the client does not know what will best serve his own interest. For example, the patient is not qualified to judge whether or not it would be best for his health to undergo an operation. Hence, the client is vulnerable, subject to exploitation, and dependent on the integrity of the professional to whom he has come for help. The customer in a store, on the other hand, presumably can look after his own interests.[47] Consequently, while the businessman's decisions are expected to be governed by his self-interest—as epitomized in the phrase "*caveat emptor*"—the professional's decisions are expected to be governed not by his own self-interest but by his judgment of what will serve the client's interest best. The professions are institutionalized to assure, in the ideal case, that the practitioner's self-interest suffers if he seeks to promote it at the expense of optimum service to clients.[48]

Professional service also requires, however, that the practitioner

[47] See the discussion of this point with particular reference to the medical profession in Talcott Parsons, *The Social System,* Glencoe, Ill.: Free Press, 1951, pp. 433–445, 463–465, 471–473.

[48] Talcott Parsons, *Essays in Sociological Theory* (2d. ed.), Glencoe, Ill.: Free Press, 1954, pp. 34–49.

maintain independence of judgment and not permit the clients' *wishes,* as distinguished from their *interests,* to influence his decisions. There are two reasons for this distinction: First, professional services are specific; the client may wish to borrow money from his lawyer, but the latter is not obligated to lend it to him; he is obligated only to serve the client's legal interests to the best of his abilities. Second, since clients are not qualified to evaluate the services they need, the professional who lets his clients decide what services he is to furnish does not provide optimum service to them.

A fundamental difference between the benefits obtained by clients of a service organization and those secured by the members of mutual-benefit associations (or by the owners of a business concern; or by the general public in the case of a commonweal organization) is the assumption that the client beneficiaries are not qualified to determine what is in their own best interest but that the member beneficiaries are so qualified. Since the members of mutual-benefit associations are the only judges of which of the many objectives the association might pursue are in their greatest interest, the problem of internal democratic control is basic. Since one group in service organizations must decide what is in the best interest of another, the basic problems here are to assure that the former serve the interest of the latter but that they do *not* let the latter determine how they are to be served. The professionals or semiprofessionals in a service organization must steer between two dangers. On the one hand, they must not lose sight of the welfare of their clients, either through concern with their own status and career or through preoccupation with administrative problems. The latter may become manifest in rigid adherence to and enforcement of procedures or in permitting budgetary considerations to dominate all decisions (for example, considering it more important to protect the taxpayer than to serve clients adequately in a public agency). On the other hand, the professionals must not become "captives" of their clientele and surrender to them the power to determine the nature of the service furnished. To err in the second is to become subservient.[49] Both types of error are illustrated in a study of the relations between Israeli officials and new immigrants to that country.[50] Officials became despotic and attempted to use their bureaucratic force clients to assume certain political and ideological to their own predilections. By contrast, other officials

[49] *Morris Janowitz et al., Public Administration and the Public,* Chicago: Public Administration Service, 1958, p. 7.

[50] S. N. Eisenstadt, "Some Sociological Observations on New Immigrants to Israel," *University of Michigan, Administration,* (1960), pp. 113–133.

sent to work as instructors in immigrant villages became subservient to the village communities and turned into their representatives for presenting the demands to the authorities, losing sight of their specific responsibility to serve the welfare of these immigrants by teaching them new skills. An illustration of an entire service organization that became subservient to its clients is provided by Clark in his study of the adult-education programs in Los Angeles.[51] Here the marginality of the entire program and the policy that only classes with a certain minimal attendance would be maintained gave the students control over the character and content of the curriculum and even the selection of instructors; clients assumed "a position of dominance over professionals in influence on program content."[52] To convert a university into a business concern that "gives the customers what they want" does not serve the best educational interests of students; rather, students are best served when professional educators determine what and how they are to be taught.

Failure to serve the welfare of clients is probably a more prevalent problem in service organizations than becoming subservient to them, and the former issue will occupy us again later, particularly in the next chapter. Now we turn to another problem, which has received considerable attention from students of mental hospitals, namely, the sensitive nature of the professional-client relationship. Stanton and Schwartz found that when a patient in a private mental hospital was the subject of covert but basic staff disagreement he tended to become pathologically agitated; furthermore, once the disagreement was brought into the open and resolved, the patient's excitement terminated, often abruptly.[53] Apparently such conflicts subtly influence the interaction between staff and patient, and the disagreements among staff members are inadvertently communicated to the patient, causing his emotional disturbance. Caudill's study of another small hospital tends to confirm this conclusion.[54] In this case, changes in the hospital's treatment program upset hospital routines and confused staff roles; disagreements remained covert and led to less frequent encounters among the various staff groups—senior psychiatrists, residents, and nurses. Shortly thereafter, a period of rather intense collective disturbance occurred among the patients. Early attempts of each of the staff groups to deal with patient problems proved unsuccessful, partly because the endeavors of different groups were in conflict, and

51 Burton R. Clark, *Adult Education in Transition,* Berkeley: University of California Press, 1958.

52 *Ibid.,* p. 86.

53 Alfred H. Stanton and Morris S. Schwartz, *The Mental Hospital,* New York: Basic Books, 1954, pp. 342–365.

54 William A. Caudill, *The Psychiatric Hospital as a Small Society,* Cambridge, Mass.: Harvard University Press, 1958, pp. 87–127.

it was not until disagreements were brought into the open and discussed that the situation was restored to normal. Both studies suggest that conflict within an organization must become overt before it can be resolved. In many ways this situation seems analogous to individual disturbances—the mental conflict of a person must also become conscious before he can resolve it. Another study, however, did not find disagreements among the staff to be associated with disturbance.[55] Wallace and Rashkis administered a paper-and-pencil test to staff members in a mental hospital over a seven-week period to obtain measures of degree of consensus on every patient; at the same time systematic observational data were collected on amount of patient disturbance. No significant relations were found between these two sets of data, although an increase in over-all consensus and a decrease in patient disturbance were noted over the period of study.[56]

Commonweal Organizations. It is not always meaningful to speak of the clients of an organization, since this term refers to both the segment of the public in direct contact with the organization and the segment that benefits from its services. In service organizations, the two are identical; hence, only when referring to these is it appropriate to speak of clients. But who would be the clients of, say, an army? Surely not the enemy it fights; neither would it be the citizens who benefit from its operations, since they are not in direct contact. An army has no clients in the above sense.

The distinctive characteristic of commonweal organizations is that the public-at-large is their prime beneficiary, often, although not necessarily, to the exclusion of the very people who are the object of the organization's endeavor. Examples of this type are the State Department, the Bureau of Internal Revenue, military services, police and fire departments, and also the research function as distinguished from the teaching function in universities. Most of these organizations either perform protective services for the community or serve as its administrative arm. As was pointed out earlier, the public could be considered the owners as well as the prime beneficiaries, and this type could then have been subsumed under our second category: organizations serving the interests of their owners.

[55] Anthony F. C. Wallace and Harold A. Rashkis, "The Relation of Staff Consensus to Patient Disturbance on Mental Hospital Wards," *American Sociological Review*, 24 (1959), pp. 829–835.

[56] Two possible interpretations of these conflicting findings are: First, the relationship between consensus and disturbance may be spurious; there is more consensus about those patients who have been in the hospital for some time, and patients also tend to become less disturbed the longer they have been in the ward. Second, the important factor in promoting disturbance is not the total number of disagreements concerning a patient but rather disagreements on particularly salient issues or between particularly significant staff members.

However, it seems preferable to separate these types since great differences in the nature and function of an organization depend on whether the community at large or a select number of owners are the prime beneficiaries.

The issue posed by commonweal organizations is that of external democratic control—the public must possess the means of controlling the ends served by these organizations. While external democratic control is essential, the internal structure of these organizations is expected to be bureaucratic, governed by the criterion of efficiency, and not democratic. The challenge facing these organizations, then, is the maintenance of efficient bureaucratic mechanisms that effectively implement the objectives of the community, which are ideally decided upon, at least in our society, by democratic methods. (*Internal* democratic control by the membership might well be at the expense of efficiency and thus lessen the organization's ability to effect the democratic will of the community.)

Three problems of commonweal organizations will be briefly discussed: the problem of power, the problem of promoting extraordinary performances, and the problem of dealing with outcasts.

The problem of power is perhaps best exemplified by the military service. In the interests of national security, most countries maintain military organizations of considerable strength. The existence of such a force creates the danger that it can be used to dominate the society that produced it, thus destroying democratic control or other forms of civilian government. This situation is illustrated by the army coups which have occurred in South American countries and the Algerian adventures of the French generals in 1961. The problem of maintaining democratic control over the military is accentuated by the background and the political orientation of its senior officers, although recent evidence reported by Janowitz indicates that changes are occurring in the composition of the officer corps.[57] Thus, in the past the officers in most countries were recruited from the aristocratic groups: half a century ago 92 per cent of the military leaders of the United States originated in the upper-middle class or above it. By 1950, however, the proportion of leaders having their origin in these higher classes had decreased to about 50 per cent. Similar shifts occurred in other countries; in Germany, for example, 97 per cent of the military elite were recruited from the nobility in 1824, 67 per cent in 1911, and by 1944 only 18 per cent could claim such origins. As might be predicted from their background, military officials have been traditionally conservative in politics. This statement has been particularly

57 See Morris Janowitz, *The Professional Soldier,* Glencoe, Ill.: Free Press, 1960, especially pp. 89–94; 236–241.

true in Europe; in the United States, military leaders more often have tended to be apolitical, but most of them also have had a conservative viewpoint, and still do. The persistence of their conservatism despite the broader base of recruitment appears to result from the socialization of recruits to army traditions. For example, graduates of military academies were found to be more conservative than nonacademy men. While there are several aspects to this military conservatism, perhaps the most important and disquieting is the belief held by a considerable number of the military elite that the formation of policy on national security should be removed from civilian control and placed in the hands of the military. Janowitz concludes: "The effectiveness of civilian political control over the military is dependent only to a small extent upon the political beliefs held by the military profession."[58]

A second problem confronting some commonweal organizations is that of promoting such extraordinary performance as bravery or creativity. Military organizations must find ways of eliciting bravery from their members under combat circumstances; police and fire work also frequently call for individual heroism. Of course, bravery by itself may be insufficient for guaranteeing military success. Weber has suggested that bureaucratic discipline is more important than individual heroism for the success of an army,[59] and Janowitz indicates that the military manager has come to replace the military hero.[60] Nevertheless, it would seem to remain true that military success depends on fielding soldiers who are brave, not cowardly. And if there is less need for great heroes in today's battles, even "routine" action in combat requires much courage. Another form of extraordinary behavior is required in research organizations, namely, scientific creativity. This elusive quality is considered by many to be inborn and thus, by definition, outside the sphere of organizational influence. Actually, however, as we will see later, organizations do influence research creativity. If extraordinary qualities are required of individuals to insure the successful operations of an organization, it is important to learn how an organization can select personnel that possess such qualities, can stimulate their further development among its staff, and can motivate and help its members to apply their relevant talents to the pursuit of organizational objectives.

A special problem is posed for organizations that are required to deal with society's outcasts, such as prisoners, against whom the public is being protected. What complicates the work of these institutions is

[58] *Ibid.*, p. 253.

[59] Weber cites Cromwell's victory over the Cavaliers as an illustration of his thesis that discipline is more significant than bravery. Gerth and Mills, *op. cit.*, pp. 256–257.

[60] Janowitz, *op. cit.*, p. 21.

that stamping men as outcasts not only removes them from society but also from society's control. Cloward has discussed in detail the dilemma faced by prison officials who must control inmates.[61] On the one hand, physical force is not very effective for routine control, and society has placed severe strictures on its employment in prisons. On the other hand, the attempt to offer the prisoner incentives by promising him rehabilitation and social reintegration is inhibited by society's refusal to accept prisoners after their release.

In this situation the guard finds himself in a difficult position. He is the one in continual interaction with prisoners, and he must find means to control them. It is not easy to treat a person with whom one has frequent contacts as an outcast. Moreover, the failure of the formal reward and sanctioning system forces the guard, according to Cloward, to rely on informal means of control. The guard can obligate prisoners to himself by providing them illegitimate access to desired goods and services. Such illegal alliances between guards and prisoners provide the structure by which the other prisoners are controlled—the prisoner confederates helping the guards to maintain control in the interest of retaining their own favored position.

One attempt to solve the problem of control, as well as that of rehabilitation, is to transform prisons from commonweal organizations (concerned with the protection of the public) into service organizations (oriented primarily to the needs and interests of the prisoner "clients"). An interesting problem this raises for the organization is discussed in Grusky's study of a small Midwestern prison camp.[62] He reports that the adoption of a therapeutic orientation toward prisoners resulted in enhancing their status, a circumstance likely to be disruptive for the organization, because it tended to be perceived by the guards, not without justification, as lowering their own status relative to that of the prisoners. Other consequences of the therapeutic approach were an increase in the interaction between the staff members and prisoners, a decentralization of authority (a change which may enhance the status of the middle-level staff), and a reduced dependence on bureaucratic procedures.

These studies suggest that the identity of the prime beneficiary of the organization's operations has far-reaching consequences for its structural characteristics, a conclusion which indicates the usefulness of the typology of formal organizations here proposed.

61 Richard A. Cloward, "Social Control in the Prison," Richard A. Cloward *et al., Theoretical Studies in Social Organization of the Prison,* New York: Social Science Research Council, 1960 (Pamphlet No. 15), pp. 20–48.

62 Oscar Grusky, "Role Conflict in Organization," *Administrative Science Quarterly,* 3 (1959), pp. 452–472.

Concluding Remarks

This chapter has presented an analysis of the nature of formal organizations and of the diverse forms such organizations exhibit. It began with a summary of Weber's theory of types of authority and of bureaucratic organization. We emphasized that his work provides both a conceptual scheme, defining the main characteristics of bureaucracies, and many hypotheses concerning the relations between characteristics and their significance for administrative efficiency. We proposed some modifications of Weber's conceptions, notably the inclusion of the informal as well as the formal, and the dysfunctional as well as the functional aspects of such organizations in the study design. We also called attention to the importance of the distinction between expertness and discipline as two different criteria for the rational organization of conduct. Next, we examined two other approaches to the analysis of formal organizations—those of Simon and Parsons. Finally, we attempted to differentiate between various types of formal organizations. After summarizing a number of other classifications of organizations, we suggested a typology based on the criterion *cui bono* —who benefits. Using this criterion, four types of organization were distinguished—mutual-benefit associations, business concerns, service organizations, and commonweal organizations. In the course of illustrating these four types and discussing certain problems associated with each, we had the opportunity briefly to survey some of the research on formal organizations.

All organizations, regardless of the group whose interest they are designed to serve, have regular contacts with persons who are not officially part of the organization. The characteristics of those publics have important implications for the organization's structure and functioning. This statement is particularly true for service organizations, where the orientation of officials to clients and that of clients to officials is of crucial significance for operations. In the following chapter we shall examine several aspects of the relations between organizations and their publics.

CHAPTER THREE

The Organization and Its Publics

Formal organizations are associated with diverse publics. There is the larger society which permits the organization to operate (if only by default, as in the case of criminal organizations). There is the population of the society in its capacity as a pool of potential members. There are the other organizations with whom the organization competes, cooperates, or enters into various exchange relationships. There are, finally, two special publics which should be distinguished: the public-in-contact, with whom or on whom the organization's members work, and the public served. Only in service organizations are the two identical, constituting the clientele—recipients of public welfare, students, or patients are both worked with and served by the organization.

What are the publics-in-contact in the other types of formal organizations? In business concerns, the main public-in-contact is, of course, the customer. While customers receive a service, they must look after their own interests; in this respect they differ decidedly from the clients of service organizations. In mutual-benefit associations the public-in-contact and acted on is those on whom depend the benefits sought by the membership. Thus, in the case of unions, the major public acted on is management, since negotiations with management are needed to improve the situation of the union members. In a like manner, the public-in-contact of the political lobby is the legislature, on whose action the lobby's success depends. In commonweal organizations the public-in-contact is frequently some source of danger to the community. In the interests of serving the larger public, these organizations must have direct contact with such threatening and disreputable elements as law violators, prisoners, and enemy soldiers.[1]

Many organizations have several publics-in-contact. For example, business concerns relate directly to customers, to suppliers of needed materials, to unions, to the government, and to other groups. The internal organization of such concerns frequently reflects these basic divisions; thus, an enterprise will have a sales department, a department concerned with purchasing, a labor-relations department, and a

1 But the source of danger may also be impersonal; thus, other commonweal organizations are concerned with the control of fire or contagious disease.

legal branch to deal with government regulations. Some of the internal organizational conflicts which develop between departments result from their orientation toward different publics.

Which level in the organizational hierarchy deals with the major public-in-contact varies greatly. In unions, for example, it is the top level: leaders negotiate with management. But in prisons, it is the bottom level: guards have direct contact with inmates. Two main factors appear to determine the hierarchical level from which are selected the organization's representatives who work with a given public. The smaller the number of these representatives (compared to the entire organization), and the higher the status and power of the public with whom they deal, the higher will be their relative standing in the organization.

This chapter is broadly concerned with various aspects of the relations between organization members and their publics. In the first part we shall discuss the orientations of officials, concentrating on the contrast between professional and bureaucratic orientations. While these orientations have relevance for many aspects of organizational life, they are of particular importance in service organizations, where they vitally affect the worker-client relation. Following this discussion, we shall concentrate directly on the public itself and examine its orientation, its organization, and the repercussions of official-client relations on the social structures in formal organizations.

Professional and Bureaucratic Orientation

Similarities and Contrasts. The professional form of occupational life and the bureaucratic form of organizational administration are two institutional patterns that are prevalent today and that in many ways typify modern societies. Professional principles share many elements with bureaucratic ones, but include some that are not common. Let us briefly survey the underlying characteristics of professionalism and compare them to those of bureaucratic organization, focusing on principles rather than on specific practices.

First, professional decisions and actions are governed by universalistic standards; that is, they are based on certain objective criteria which are independent of the particular case under consideration. These principles rest upon and are derived from a body of specialized knowledge, such as the science of medicine, and practice consists of applying these principles with appropriate skill to particular cases. The mastering of this body of knowledge and the acquiring of appropriate skills requires a period of specialized training. The character of bureaucratic administration does not differ greatly in this respect. Bureaucratic operations are also governed by abstract principles and consist

of the application of these principles to particular cases. Although the period of training for professionals is generally longer than that required of bureaucrats and contains some unique features, to be discussed presently, bureaucrats too undergo a period of technical training and indoctrination to qualify for their positions.

A second characteristic of professionalism is the specificity of professional expertness. The trained professional is a specialized expert qualified to deal with problems in a strictly limited area; he makes no claim to generalized wisdom—he is neither sage nor wise man. The practitioner's authority over his clients rests on their confidence in his expertness in some specific area; he enjoys no authority outside that sphere. In the interests of good health, for instance, the physician can tell his patient what he should eat, but he cannot tell him with authority what friends to choose. Contrast the limited authority exercised by the professional over his clients with the diffuse authority exercised by the parent over his children. The principle of specificity applies with equal force to the bureaucrat; in his case, too, specialization is the key to expertness, and the essence of bureaucracy is circumscribed authority.

Third, the professional's relations with clients are characterized by affective neutrality. Professional codes of ethics condemn emotional involvement with the client. These norms protect the client from being emotionally exploited and the practitioner from being torn apart by sympathy for his troubled clients. In addition, detachment insulates the professional so that he may exercise reasoned judgment. The relations between bureaucrats and clients are also marked by such impersonal detachment, with similar ends being served.

Fourth, professional status is achieved by an individual's performance, not ascribed to him because of some qualities he cannot change, such as sex or birth order. The professional's success rests upon outstanding performance in accordance with the principles laid down by his colleague group. In a similar manner, the bureaucrat is appointed to a position because of his technical qualifications rather than because of who he is or what connections he has, and his career advancement is governed by objective and explicit official criteria.

A fifth element in professionalism, essential to protect the welfare of dependent and vulnerable clients, is that professional decisions must not be based on the practitioner's self-interest, whereas in business life self-interests are expected to govern decisions. This difference does not mean that professionals are less selfish than businessmen, or less interested in economic advancement. It means that while each party to a business transaction is assumed, by the other and by the community, to act strictly in terms of his own interests, it is not legitimate for a professional to let his decisions as to what services to render be influenced by self-interest. If he does, the condemnation and the

sanctions of his colleagues and of the community will hurt his interests in the long run. Thus, the structure of a profession tends to make the practitioner's own interests dependent on his serving the interests of his clients to the best of his abilities. Businessmen, on the other hand, are not condemned for acting in terms of their own interests. Moral disapproval attaches to the surgeon who recommends an appendectomy when the patient does not need one, but not to the auto or appliance salesman who recommends the super-deluxe model although the customer does not need the extra trim.[2] Another aspect of this principle is that the nature of the services the professional renders to his clients is presumed to depend on their need and not their ability to pay; whereas the kinds of services rendered by a business to its customers depend, of course, on what they can afford to purchase.

In contrast to the first four principles, this fifth one is not characteristic of all formal organizations but only of certain types. Lack of self-interest is not expected to govern the operations of business concerns or of mutual-benefit associations, but it is expected of commonweal organizations and, particularly, of service organizations. As a matter of fact, the conditions for realizing this principle are probably more favorable for professionals working in service organizations than for professionals working outside this organizational context. The traditional practitioner in the free professions is not only a professional but also a businessman who makes a living by collecting fees from clients. His economic dependence on clients comes into conflict with the requirement to set self-interest aside in rendering service to them. For example, a physician's need to earn a livelihood puts pressure on him not to devote all his time to clients who are too poor to pay for his services. The salaried professional in the service organization is free of this pressure, and the organization supported by community or philanthropic funds is not dependent on fees from clients either. These conditions would seem to be more conducive to promoting disinterested service.

A final characteristic of the professions is their distinctive control structure, which is fundamentally different from the hierarchical control exercised in bureaucratic organizations. Professionals typically organize themselves into voluntary associations for the purpose of self-control. As Goode explains, "the larger society has obtained an *indirect* social control by yielding *direct* social control to the professional com-

[2] Life insurance agents have sought to support their claim to professional status by emphasizing that the properly trained agent does not try to sell as much insurance as he possibly can but only the amount and kinds called for by the needs of the customer-client. For a discussion of the problems inherent in such an attempt to attain professional status in an occupation whose members are dependent on sales commissions, see Robert K. Bain, "The Process of Professionalization: Life Insurance Selling," unpublished Ph.D. dissertation, Department of Sociology, University of Chicago, 1959.